

A
BRIEF
HISTORY
of
EQUALITY
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THE MOVEMENT TOWARD EQUALITY

The First Milestones

Let's start at the heart of the matter. Human progress exists: the movement toward equality is a battle that can be won, but it is a battle whose outcome is uncertain, a fragile social and political process that is always ongoing and in question. I shall begin by recalling the historical progress that has been achieved in terms of education and health care before examining the highly political questions raised by the choice of socioeconomic indicators. Then, in the following chapter, we will examine a few basic elements and orders of magnitude concerning the slow deconcentration of power, property, and income.

Human Progress: Education and Health Care for All

Human progress exists: to be convinced of this, it suffices to observe the development of health care and education in the world since 1820 (see Figure 1). The available data are incomplete, but there is no doubt about the tendency. On average, life expectancy at birth has risen worldwide, from about twenty-six years in 1820 to seventy-two years in 2020. At the beginning of the nineteenth century, about 20 percent of newborns on the planet died in the course of their first year, as compared with less than 1 percent today. If we concentrate on people who reached age one, life expectancy at birth has risen from about thirty-

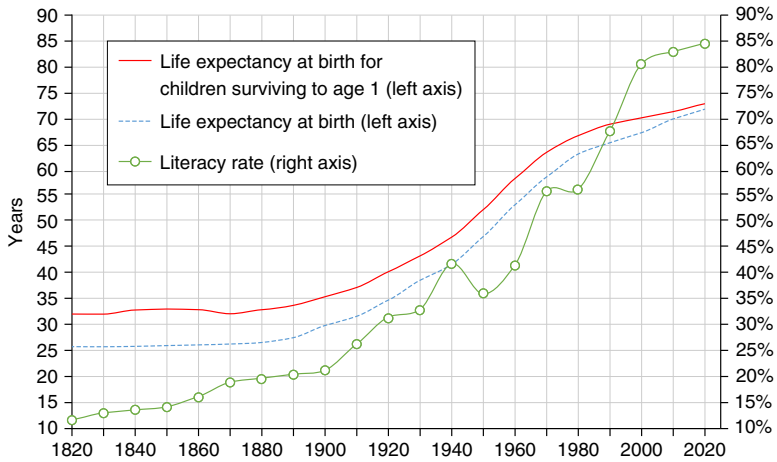


FIGURE 1. Health Care and Education in the World, 1820–2020

Worldwide life expectancy at birth (all births taken together) has risen from about twenty-six years on average in 1820 to seventy-two years in 2020. Life expectancy at birth among persons reaching the age of one has risen from thirty-two years to seventy-three years (infant mortality before the age of one has decreased from about 20 percent in 1820 to less than 1 percent in 2020). The literacy rate in the world population aged fifteen or more has risen from 12 percent to 85 percent. *Sources and series:* piketty.pse.ens.fr/equality

two years in 1820 to seventy-three years in 2020. Two centuries ago, only a small minority of the population could hope to live to be fifty or sixty years old; today, that privilege has become the norm.

At present, humanity is in better health than it has ever been; it also has more access to education and culture than ever before. Information collected in many inquiries and censuses allows us to estimate that at the beginning of the nineteenth century, hardly 10 percent of the world population over the age of fifteen could read and write, whereas today more than 85 percent is literate. There again, more refined indicators confirm the diagnosis. The average number of years of education has risen from hardly one year two centuries ago to more than eight years worldwide today, and more than twelve years in the most advanced countries. In 1820, less than 10 percent of the world population

attended primary school; in 2020, more than half of the young generation in wealthy countries attended a university: what had always been a class privilege is gradually becoming open to the majority.

To be sure, this great leap forward merely shifted inequalities to another level. Disparities in access to education and basic health care between global North and South remain very deep, and they are still considerable nearly everywhere at more advanced levels of the health care or educational systems—for example, in higher education. We shall see that this is a major issue for the future. At this point, let us say simply that it always works this way: the march toward equality passes through successive stages. As access to certain fundamental rights and goods (such as literacy or elementary health care) is gradually extended to the whole population, new inequalities appear at higher levels and require new responses. Like the quest for ideal democracy, which is nothing other than the march toward political equality, the march toward equality in all its forms (social, economic, educational, cultural, political) is an ongoing process that will never be completed.

We can already observe that in terms of life expectancy and literacy, the most important progress was achieved in the twentieth century, a period when the welfare state was greatly expanded, and social security and progressive income taxes were instituted after intense political battles. We will return to this topic at length. In the nineteenth century, social welfare budgets remained parsimonious, taxes were regressive, and the progress made by these indicators was extremely slow, not to say insignificant. Human progress never evolves “naturally”: it is subject to historical processes and specific social battles.

World Population and Average Income: The Limits of Growth

To become aware of the scope of the historical transformations involved, we must also remember that human population and average income have both multiplied more than tenfold since the eighteenth

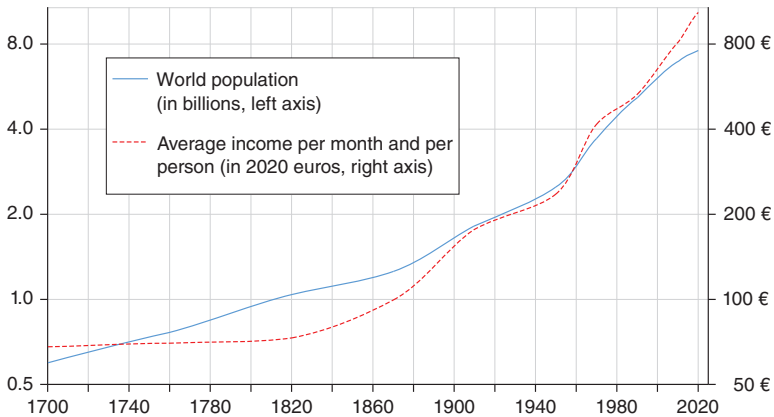


FIGURE 2. Population and Average Income in the World, 1700–2020

The world population and the average income per person increased more than ten-fold between 1700 and 2020: the former rose from about 600 million in 1700 to more than 7 billion in 2020; the latter, expressed in 2020 euros and in purchasing power parity, rose from scarcely 80 euros per month per person in 1700 to about 1,000 euros per month in 2020. That corresponds in both cases to an average growth of about 0.8 percent per year, accumulated over 320 years. *Sources and series:* piketty.pse.ens.fr/equality

century. The former has risen from about 600 million in 1700 to more than 7.5 billion in 2020 while the latter, so far as we can measure it on the basis of the imperfect historical data available to us regarding salaries and wages, production, and prices, has risen from an average purchasing power (expressed in 2020 euros) of less than 100 euros per month per inhabitant of the planet in the eighteenth century to about 1,000 euros per month per inhabitant at the beginning of the twenty-first century (see Figure 2). It will be noted that the historical progress of the average income becomes truly significant only starting in the last third of the nineteenth century, and especially in the course of the twentieth century. According to the available sources, it would seem that the development of purchasing power in the eighteenth century and during most of the nineteenth century was insignificant, or even occasionally negative (as is indicated, for

example, by the agricultural wages studied by Labrousse in the case of pre-revolutionary France). For the world population, growth has been more regular over the past three centuries, but it also accelerated in the twentieth century.

Can these tenfold increases be described as human progress? The interpretation of these transformations is in reality far more complex than it is for health care and education. The spectacular growth of the world population reflects, of course, real improvement in the conditions of individuals' lives, particularly thanks to advances in agriculture and food supply that have made it possible to escape from cycles of overpopulation and shortages. It also derives from the fall in infant mortality and from the fact that an increasing number of parents have been able to grow old with living children, which is not insignificant. Unfortunately, on the collective level, everything indicates that over the long term, such an exponential growth of the population is unsustainable for the planet. If the demographic expansion of the past three centuries were to continue in the future, there would be more than 70 billion of us by 2300, and 7,000 billion by the year 3000, which seems neither plausible nor desirable. It will also be noted that this multiplication by ten of the world population between 1700 and 2020 corresponds to an average population growth of scarcely 0.8 percent per annum, though accumulated over more than three hundred years.¹ This reminds us that there is something totally insane about the very idea of perpetual and unidimensional growth, prolonged indefinitely over thousands and millions of years, and in any event it cannot constitute a reasonable objective for human progress. In this case, taking into account the observed decline in the birth rate, it would seem that demographic growth is destined to decrease sharply in the course of the twenty-first century. Moreover, if we believe the central scenario of projections from the United Nations (UN), which is at this point very uncertain, the world population may

1. More precisely: $1.008^{300} = 10.9$.

stabilize at around 11 billion humans between now and the end of the century.

The Choice of Socioeconomic Indicators: A Political Question

The spectacular increase in average income raises problems of interpretation that are different, but in part come down to the same thing. In absolute terms, the fact that the average income has risen so much may certainly be considered a positive development, and one that is, moreover, inseparable from progress in ensuring the food supply and increasing life expectancy (processes which reinforced one another). However, several points need to be made. In general, the choice of socioeconomic indicators is an eminently political one: no indicator should be regarded as sacred, and the nature of the indicators chosen must be at the heart of public debate and democratic confrontation.

Concerning indicators such as income, it is first of all essential to move beyond averages and aggregates, and to examine the real distribution of wealth among social classes, within countries as well as at the global level. For example, according to the available data, the global average income did reach approximately 1,000 euros per month per inhabitant at the beginning of the 2020s, but it is scarcely 100 to 200 euros a month in the poorest countries, whereas it rises above 3,000 to 4,000 euros a month in the richest countries. Within countries, whether rich or poor, inequalities remain considerable. We will return at length to these questions all through this book. We shall see, for instance, that although the inequalities between countries have decreased since the colonial period, they remain extremely high, reflecting in part the fact that the organization of the global economic system is still very hierarchical and inequitable.²

We must also put into perspective the idea of a purchasing power multiplied by ten since the eighteenth century (and in reality, since

2. See in particular Chapter 9.

the end of the nineteenth century). The order of magnitude is expressive and powerfully conveys the idea of a massive quantitative increase, which is incontestable, but in truth the precise figure is not very significant. It may make sense to compare incomes in order to evaluate inequalities within a given society (insofar as the different social groups interact and maintain relations with one another through monetary exchanges) or between countries in a given period (also insofar as these societies maintain such contacts with each other, which has become more and more frequently the case at the global level since the eighteenth century), or to study the evolution of purchasing power on the scale of a few years or a few decades. On the other hand, the exercise loses its meaning as soon as we consider temporal advances as gigantic as the one in question here.

To grasp such radical transformations of ways of life, no unidimensional indicator can be sufficient. It is better to resort to a multidimensional approach in order to gauge the evolution of access to concrete goods such as education, health care, food, clothing, housing, transportation, culture, and so on. In this case, depending on the kind of good (that is, from a technical point of view, depending on the composition of the basket of goods used to calculate the price index), we could just as well conclude that average purchasing power has been multiplied by two or three or fifteen or twenty (and not by ten) between 1860 and 2020.³

3. For concrete examples of the rise in purchasing power of the average income expressed in terms of kilograms of carrots or meat, in newspapers, hairdressers, bicycles, or apartment rents in France over the course of the twentieth century, see T. Piketty, *Top Incomes in France in the Twentieth Century* (Cambridge, MA: Harvard University Press, 2018), 71–82; and T. Piketty, *Capital in the Twenty-First Century* (Cambridge, MA: Belknap Press of Harvard University Press, 2014), 87–90. In sum: purchasing power expressed in manufactured goods has increased more than average, while purchasing power expressed in terms of services has increased much less than average increase (or even not at all, in the case of certain services). Purchasing power expressed in terms of food is near average.

For a Plurality of Social and Environmental Indicators

Moreover, it is crucial to account for the fact that the general increase in population, production, and incomes since the eighteenth century took place at the price of overexploiting the planet's natural resources, and to examine the sustainability of such a process and the institutional mechanisms that would make its radical reorientation possible. Here again, this requires setting up a whole series of indicators permitting social actors to define a multidimensional, balanced conception of economic, social, and environmental progress. To begin with macroeconomic indicators, it is greatly preferable to use the notion of *national income* rather than that of *gross domestic product* (GDP). There are two essential differences: national income is equal to the GDP (the sum of goods and services produced in a country in the course of one year) minus the depreciation of capital (that is, wear and tear on tools, machines, and furniture used in production, including, in principle, natural capital), plus or minus the net income from capital and labor collected from or paid out to the rest of the world (this set can be either positive or negative, depending on each country's situation, but by definition these cancel each other out at the global level).

Let's take an example. A country that extracts 100 billion euros' worth of petroleum from its land generates a supplementary GDP of 100 billion euros. On the other hand, the corresponding national income is nil, because the stock of natural capital has been reduced by the same amount. If in addition we attribute a corresponding negative value to the social cost of carbon emissions produced by burning the petroleum in question—which, though we ought, we do not always do, for we now know that these emissions will contribute to global warming and make life on Earth infernal—then we obtain a strongly negative national income.⁴ The importance of the choice of

4. For example, if we applied a minimal value of 100 euros per ton to the approximately 50 billion tons of annual emissions of carbon equivalents (on average, about 6.2

the indicator is clear: the same economic operation can lead to a positive GDP or a negative national income. This can radically change the collective evaluation of this or that investment at the level of a country or an enterprise.

Although it is preferable to focus on the national income (after taking into account the consumption of natural capital and the corresponding social cost) and on the inequality of its distribution, rather than confining ourselves to the GDP and to averages, that is nonetheless not sufficient. In fact, no matter what monetary value is assigned to the social cost of carbon emissions or other *externalities* (a generic term used by economists to designate the undesirable effects of economic activities such as warming, air pollution, or traffic jams), this unidimensional type of monetary accounting does not make it possible to correctly take into account either the damage done or the stakes involved. In some cases, this approach can even help maintain the illusion that we can always counterbalance damage with money, provided that we find the right “relative price” to valorize the environment, which is a false and dangerous idea.⁵ To escape this kind of intellectual and political dead end, it is also and especially essential to choose genuinely environmental indicators, such as explicit temperature limits that must not be exceeded, binding indicators bearing on biodiversity, and objectives formulated in terms of carbon emissions.

Just as for incomes, we must take an interest in the unequal distribution of carbon emissions, both from the point of view of the persons responsible for them and from that of those who will suffer the

tons per inhabitant of the planet), we would end up with an annual social cost of 5 trillion euros, or about 5 percent of the world GDP. If we assigned a value of several hundred euros per ton, which is probably indispensable for envisaging an ambitious climate policy, then that would have a massive impact on the calculation of the global income and the contribution of the various countries to collective well-being.

5. Technically, no one can predict a century in advance what the “relative value” of the environment will be. Markets and their waves of speculation predict even less well than the world as a whole.

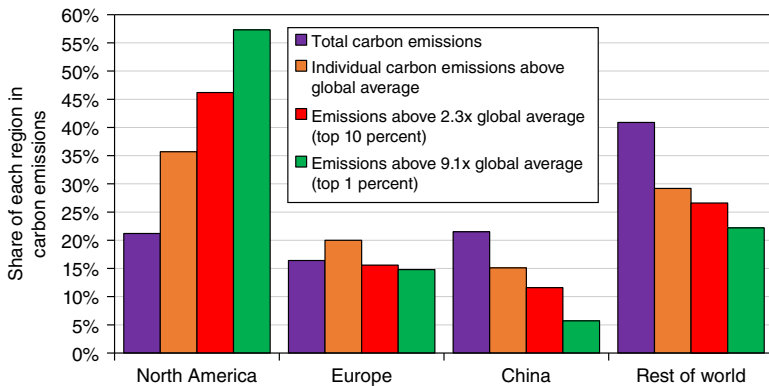


FIGURE 3. Worldwide Distribution of Carbon Emissions, 2010–2018

North America's share (United States and Canada) in total carbon emissions (direct and indirect) was 21 percent on average in 2010–2018; it rose to 36 percent of individual emissions above the global average (6.2 tons of CO₂ per year), 46 percent of the emissions above 2.3 times the global average (or the top 10 percent of individual emissions worldwide, responsible for 45 percent of total emissions, versus 13 percent for the least-emitting 50 percent), and 57 percent of the emissions above 9.1 times the average (or the top 1 percent of individual emissions worldwide, responsible for 14 percent of emissions). *Sources and series:* piketty.pse.ens.fr/equality

consequences. For instance, for the period 2010–2018, we find that of the 1 percent of the planet's inhabitants who emit the most carbon, almost 60 percent reside in North America (see Figure 3), and that their total emissions are higher than the combined emissions of the 50 percent of the planet's inhabitants who emit the least.⁶ It happens that most of the latter live in Sub-Saharan Africa and in South Asia, and will be the first affected by global warming. In the future, this kind of indicator could play a growing role in assessing the extent to which countries respect their commitments and in defining compensation mechanisms, as well as in developing a system of individual

6. L. Chancel and T. Piketty, "Carbon and Inequality: From Kyoto to Paris," 2015, WID.world. Compare L. Chancel, "Global Carbon Inequality in the Long Run," 2021, WID.world.

carbon cards, which will certainly be part of the indispensable institutional tools for meeting the climatic challenge. More generally, it is difficult to rethink the organization of the economic system on both the global and the national levels if we do not have an objective basis for evaluation using this type of indicator.

No Sustainable Development without a Measure of Inequality

We must be wary: the solution cannot be found only among purely environmental indicators, to the exclusion of socioeconomic indicators, including incomes. The reason for this is simple: human beings need to live in harmony with nature, but they also need housing, food, clothing, and access to culture. Above all, they need justice. Unless we are capable of measuring incomes, the inequality of their distribution, and their development over time, it is hard to see how we could develop norms of justice that would allow us to concentrate our efforts on the wealthiest people and rethink the organization of the global economic system in a way acceptable to the humblest. Without resolute action seeking to drastically compress socioeconomic inequalities, there is no solution to the environmental and climatic crisis.⁷ To make progress in this direction, we must combine different indicators—environmental and economic, for example—and independently set targets for carbon emissions or biodiversity while at the same time formulating objectives that include the reduction of inequalities in income and the distribution of fiscal and social deductions and public expenditures. In this way we may compare different sets of public policies that make it possible to achieve our environmental objectives.

7. L. Chancel, *Unsustainable Inequalities: Social Justice and the Environment* (Cambridge, MA: Harvard University Press, 2020). Compare E. Laurent, *Sortir de la croissance: mode d'emploi* (Paris: Les liens qui libèrent, 2019).

In addition, though it is generally preferable to concern ourselves with the distribution of income among social classes and not only with the average income, in certain contexts it is indispensable to resort to macroeconomic aggregates such as the national income (or if necessary, the GDP), for example to express the weight of the different categories of taxes or the size of the budgets allocated for education, health care, or the environment as a percentage of the national income (or of the GDP). This is the least bad method we have for comparing in an intelligible way the evolution of these sums over time and from one country to the next. I shall demonstrate this in the following chapters, when we study, for example, the increasing power and the fiscal and military capacity of European states in the eighteenth and nineteenth centuries, or the development of the welfare state in the twentieth century. At first, thinking in terms of a “percentage of national income,” or reducing all the sums mentioned to the average income or average salary of each period (which amounts to the same thing), may seem abstract and irksome to many. But if we do not overcome this technical obstacle, then we are almost inevitably vulnerable to manipulations of the data.

For example, established governments (as well as their opposition) regularly announce investment plans expressed in millions or billions of euros (or dollars or yuan). Upon examination, it often turns out that these plans extend over ten or twenty years, not a single year. The annual amount, correctly recalculated, represents in reality only a minuscule fraction of the national income, or else the increase envisaged is less than the predicted rate of inflation or of growth over the same period (so that the fabulous investment announced, instead of increasing, actually diminishes as a proportion of the national income). Ideally, the media would systematically convert these sums into intelligible scales. But at present, we are far from this ideal and must do the work ourselves and demand that the media do it also. The choice of socioeconomic indicators is eminently political: it concerns each of us and cannot be left to others. If we do not act, we must not

be surprised if the indicators selected reflect priorities other than the ones we care about.

Let us restate the point clearly: socioeconomic indicators, like the historical series presented in this work and all statistics in general, are nothing more than imperfect, temporary, and fragile constructions. They do not claim to establish “the” truth of figures or the certainty of “facts.” There are always several legitimate ways of combining the materials available to confer a specific social, economic, and historical intelligibility on the given information. The indicators seek above all to develop a language enabling us to establish orders of magnitude, and especially to compare in the most sensible way possible situations, historical moments, epochs, and societies that often consider themselves to be very distant from one another, but which it may nonetheless be useful to correlate in spite of their irreducible specificity and uniqueness. We cannot be content to say that each statistic is a social construction: that is, of course, always true, but it is insufficient because it amounts to abandoning the field. Used properly, moderately, and critically, the language of socioeconomic indicators is an indispensable complement to the natural language for fighting intellectual nationalism, escaping the manipulations of economic elites, and building a new egalitarian horizon.

Finally, it will be noted that rather than using a multiplicity of indicators, one alternative solution might consist in synthesizing them in a single indicator. For example, the Human Development Index (HDI) worked out by the United Nations aggregates data regarding health care, education, and national income to arrive at a worldwide classification of countries. The ecologist and economist Tim Jackson has developed a Global Progress Indicator (GPI) combining, notably, environmental data with data concerning the national income and the latter’s distribution.⁸ These studies have the immense merit of

8. T. Jackson, *Prosperity without Growth: Foundations for the Economy of Tomorrow*, 2nd ed. (Abingdon, UK: Routledge, 2017). Compare J. Hickel, *Less Is More: How De-growth Will Save the World* (Portsmouth, NH: Heinemann, 2020).

showing how little meaning the obsession with the GDP has: to make deep changes in the classification of countries and developments over time, it suffices to adopt a more balanced indicator. However, I do not think the best solution is to replace the GDP by another single indicator (even if it is more balanced). By definition, indicators that seek to sum up a multidimensional reality in a unidimensional index do so at the cost of a certain opacity. As a general rule, it seems to me preferable to resort to a multiplicity of indicators bearing explicitly and transparently on carbon emissions and their distribution, inequalities in income, health care, education, and so on. For the same reasons of transparency, I advise against the use of synthetic indices that are supposed to sum up the level of inequality in a society (like Gini's and Theil's coefficients, which are relatively abstract to interpret). In my view it is more appropriate to use more intuitive notions such as the proportion of incomes going to the poorest 50 percent or to the richest 10 percent, the proportion of the emissions caused by the heaviest 1 percent of emitters, and so on, which everyone can easily understand.⁹

9. Gini's coefficients are also available on WID.world, but I suggest using instead the series broken down by deciles or centiles, on which I will focus in this work.